

Announcing Modifications to UPI International Pricing

All UPI Members in Europe¹ | Effective Date: As indicated in the Bulletin

Overview: UPI will implement modifications to its international pricing from 6 September, 2019.

Topic(s): Interchange Reimbursement Fee (IRF), Service Fee (SF), Premium Card Fee, Cross-border Transaction Fee

Background

As announced in the OB13-2016 and OB14-2016, UPI will review and modify its international pricing in a phased approach to ensure that we are investing in an infrastructure that allows our Members to grow their business reliably and safely.

Details

1. IRF for Cross-border POS transaction

1.1 Members Affected

Markets	Acquirers	Issuers
Hong Kong, Macau, Singapore, Thailand, Vietnam, Laos, Cambodia, Myanmar, Malaysia, Indonesia, Brunei, Philippines, Taiwan, South Korea, Japan	√	√
Others		√

1.2 Highlights

a) Cross-border POS transaction herein refers to cross-border purchase, pre-authorization in POS channel and corresponding refund transactions. For international pricing for QRC purchase transaction in POS channel, please refer to "5. Extension of the Concessionary Period of International Pricing for QRC Purchase" within this OB.

b) **Effective 6 September, 2019**, the adjusted IRF (refer to Table 2) will apply to 8 more markets in Southeast Asia. The cross-border POS transactions that will be subject to the adjusted international IRF now include:

- Cross-border POS transactions across Mainland China and other 15 pilot markets (Hong Kong, Macau, Taiwan, South Korea, Japan, Singapore, Thailand, Vietnam, Laos, Cambodia, Myanmar, Malaysia, Indonesia, Brunei, Philippines); **AND**
- Cross-border POS transactions acquired inside of Mainland China;

Refer to Table 1 for illustration of how the adjusted pricing will be applied in different scenarios.

¹ For market list, refer to Annex 8 of UPI Operating Regulations.

Table 1. Illustration Table of IRF for Cross-border POS Transaction

Scenarios	Issuer Location	Acquirer Location	IRF (Acquirer pays Issuer)	SF (Issuer pays UPI)	SF (Acquirer pays UPI)
China Outbound Transactions	Mainland China	15 pilots	Adjusted International IRF	0.1%	0.1%
		Others (excluding Mainland China&15 pilots)	1.1% (0.385% for PIN-based Debit& Prepaid acquired in the US region)	0.1% (0.035% for PIN-based Debit& Prepaid acquired in the US region)	0.1%
China Inbound Transactions	15 pilots	Mainland China	Adjusted International IRF	0.1%	0.1%
	Others				
Other cross-border transactions ^①	15 pilots	15 pilots	Adjusted International IRF	0.1%	0.1%
		Others	1.1% (0.385% for PIN-based Debit& Prepaid acquired in the US region)	0.1% (0.035% for PIN-based Debit& Prepaid acquired in the US region)	0.1%
	Others	15 pilots	1.1% (0.385% for PIN-based Debit& Prepaid acquired in the US region)	0.1% (0.035% for PIN-based Debit& Prepaid acquired in the US region)	0.1%
		Others			

① For pricing of transactions within EEA, refer to EEA Intra-regional Pricing in *Appendix D*.

c) To decrease the IRF of PIN-based Debit and Prepaid Cards for cross-border POS transaction from 1.075% to 1.05% as announced in OB13-2016.

Refer to Table 2 for the table of the Adjusted International IRF for cross-border POS transactions.

Table 2. The Adjusted International IRF for Cross-border POS Transactions^①

Attributes			IRF (Acquirer Pays Issuer)
Consumer Card	PIN-based Debit/Prepaid Card		1.05%
	Credit Card& Signature-based Debit/Prepaid Card	Classic & Gold	1.10%
		Platinum (UnionPay Standard Card only) ^②	1.85%
		Diamond and above (UnionPay Standard Card only)	2.00%
Commercial Card (only for cards issued outside of Mainland China)	>USD 2,000 & Non T&E MCCs ^③		0.75%+USD 25
	Others		2.00%

① The above rates will also apply to domestic or intra-regional transactions where no Domestic Pricing or Intra-regional Pricing applies. Otherwise, Domestic pricing and local regulated pricing shall always prevail for domestic and intra-regional transactions.

② UnionPay Standard Card refers to UnionPay card starting with Bank Identification Number (BIN) of "62" and "81". The IRF of other UnionPay Platinum and Diamond Cards for cross-border transactions will remain at 1.1%.

③ Non-T&E MCCs refer to MCCs **EXCLUDING**:

4000-4799 Transportation;

5812 Eating place and restaurants;

5813 Drinking places (alcoholic beverages) — bars, taverns, nightclubs, cocktail lounges, and discotheques;

5814 Fast food restaurants;

7011 Lodging — hotels, motels, and resorts;

7512 Automobile rentals

The Non-T&E MCC list will be reviewed and renewed to relevant participants by UPI on a regular basis.

2. IRF and SF for Cross-border EC transaction

2.1 Member Affected

Markets	Acquirers	Issuers
All	√	√

2.2 Highlights

a) Cross-border EC transaction herein refers to cross-border purchase, pre-authorization in EC channel and corresponding refund transactions. For international pricing for QRC purchase transaction in EC channel, please refer to "5. Extension of the Concessionary Period of International Pricing for QRC Purchase" within this OB.

b) **Effective 6 September, 2019**, the adjusted IRF and SF (refer to Table 3) will apply to cross-border EC transactions acquired outside of Mainland China.

c) Modifications including:

- Insurance MCCs (5960, 6300) will be removed from the special MCC list and the pricing will be resumed to standard rates.
- Special pricing will be offered to specific Acquirers** on PIN-based Prepaid and Debit card transactions in Education MCCs (8211, 8220, 8241, 8244, 8249, and 8299), and the corresponding Issuers shall abide by the same pricing for such transactions.² For more information, please contact your UPI representative.

Table 3. The Adjusted IRF and SF for Cross-border EC Transactions

Scenarios	MCC	Card Type	IRF (Acquirer pays Issuer)		SF ^① (Issuer pays UPI)	SF (Acquirer pays UPI)
Transactions acquired outside of Mainland China ^②	Education (8211, 8220, 8241, 8244, 8249, 8299)	PIN-based Prepaid/Debit Card	Standard Pricing	1.15%	0.15%	0
			Special Pricing	0.3% (max USD 80)	0.15% (max USD 40)	0
		Credit& Signature-based Prepaid/Debit Card	1.15%		0.15%	0
	Airlines (4511)	All	1.15%		0.15%	0
	Insurance (5960, 6300)	All	1.2%		0.2%	0.2%
	Other MCCs	All	1.2%		0.2%	0.2%
Transactions acquired inside of Mainland China	Stay as status quo Refer to Appendix C					

① If Issuer authorizes UPI to send an SMS to authenticate the cardholder's identity (ECI=09, Authentication Mode), Authentication Fee of USD 0.05/transaction will apply to the Issuer for each successful EC transaction. This fee will not apply if ECI=10 (Non-authentication Mode) or the SMS is sent by the Issuer.

② For pricing of transactions within EEA, refer to EEA Intra-regional Pricing in *Appendix D*.

² For PIN-based Prepaid and Debit Card transactions in Education MCCs (8211, 8220, 8241, 8244, 8249, and 8299) from specific Acquirers (which will be controlled by White List), the field of "Special Pricing Indicator" in the General/ Dispute Transaction Audit Trailer will be filled with 01.

3. Cross-border Transaction Fee

3.1 Members Affected

Markets	Acquirers	Issuers
All		√

3.2 Highlights

a) **Effective 1 January, 2020**, the standard pricing of Cross-border Transaction Fee (refer to Table 4) will apply to cross-border purchase, pre-authorization in POS channel, MO/TO, Recurring, QRC purchase transactions and corresponding refund transactions for all above, as well as cross-border ATM withdrawal transactions.

b) Acquirers are currently exempt from this fee.

Table 4. Cross-border Transaction Fee chargeable to UPI Members outside of Mainland China

Transaction Type	Category	Issuers Pays UPI	Acquirers Pays UPI
Purchase pre-authorization in POS channel, MO/TO, Recurring	Issuers in Europe ^①	0.6%	0
	Exception: PIN-based Prepaid/Debit Cards acquired in the US region	0.3%	0
Purchase, Pre-authorization in EC channel	All Issuers	waived	0
QRC Purchase	Transactions within preferential range ^②	50% off the cross-border transaction fee for POS transaction	0
	Other transactions	The same as cross-border transaction fee for POS transaction	0
ATM Withdrawal	All Issuers	0.1% ¹	0

① EEA Issuers are exempt from Cross-border Transaction Fee for cross-border purchase, pre-authorization in both POS and EC channels, MO/TO, Recurring and QRC purchase transactions within EEA members.

② For pricing of cross-border QRC purchase transaction within the preferential range, refer to Appendix A.

4. Premium Card Fees

4.1 Members Affected

Markets	Acquirers	Issuers
All		√

4.2 Highlights

a) **Effective Date: January 1, 2020**, the standard pricing of Premium Card Fee for all cards will apply to Issuers in all countries and regions.

Table 5. Premium Card Fee (per card/per quarter) ^{①②③}

Platinum Card Fee (Issuers pays UPI)	Diamond Card Fee (Issuers pays UPI)
USD 0.625	USD 1.25

- ① The above card fees are charged at the lowest privilege standards and exclude insurance or other service fees.
 ② Additional card fees for Theme Card products are not included.
 ③ Premium card services may vary by region or issuer, including but not limited to travel& medical assistance service, concierge service, emergency services (cash or card replacement), U Collection global privileges and local benefit platform.

5. Extension of the Concessionary Period of Pricing for Cross-border QRC Purchase

5.1 Members Affected

Markets	Acquirers	Issuers
All	√	√

5.2 Highlights

- a) To extend the concessionary period of pricing for Cross-border QRC purchase transaction to **February 28, 2022**.
- b) Please refer to *Appendix A* for pricing details.

Member Impact

- Issuers and Acquirers should update their system according to the implementation guide (*Appendix B: New UPI International Interchanges and Service Fees Implementation Guide*) by the effective date.
- The adjusted rates taking effective on 6 September, 2019 (above point 1& 2) will be reflected on the cross-border transaction settlement files and reports distributed to participants on and after 7 September, 2019; the adjusted rates taking effective on 1 January, 2020 (above point 3) will be reflected on the cross-border transaction settlement files and reports distributed to participants on and after 2 January, 2020.
- For refund and dispute transactions initiated after 6 September, 2019, fees will be refunded debited or credited based on the new rates.
- The adjusted pricing will be based on card attributes recorded in the UPI system, such as Consumer/Commercial Card types, card levels and Credit/Debit Cards. In case of any discrepancies, please contact UPI staff members to update the card information in the system.

Member Testing

Testing will be available from **1 August, 2019**. Members who plan to participate in the test are required to submit an application request to your UPI representative before 25 July, 2019.

- Members who use the New Audit Trailer of General Transactions/Dispute Transactions are **strongly recommended** to conduct the test.
- Members who perform system reconciliation are **strongly recommended** to participate in this test.
- Members who retrieve fee information from the FEEDTL files and construct their own settlement reports may choose to skip this test.
- Members who perform manual reconciliation may choose to skip this test.

Appendices

Appendix A: OB35-2017 Announcing Cross-border Pricing for UPI QRC-based Transactions

Appendix B: New UPI International Interchanges and Service Fees Implementation Guide

Appendix C: Pricing for Cross-border EC Transactions acquired inside of Mainland China

Appendix D: EEA Intra-regional Pricing

For More Information

- For more questions regarding Member testing, please contact the following UPI staff member:
Ms. Li Yang **Tel:** +86 755 33021911 **Email:** yangli@unionpayintl.com
- For more questions regarding technical specification, please contact ts@unionpayintl.com.
- For more information regarding pricing, please contact pricing@unionpayintl.com.